
Non-Financial Risk – Additional Monitoring Control & Testing Guidance

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1 Monitoring Controls and Testing Process

1.1 Roles and responsibilities

See MC&T RACI in appendix 2.4

1.2 MC&T Instructions, set-up and activation



The first step within the MC&T process is to define or review the MC&T instructions and set-up (e.g. script, control activation) for a control as well as ensuring activation of a control for monitoring and testing purposes in AGRC. This process step follows right after the finalization of the Design of the Control or between MC&T cycles. Regarding local and IT ¹controls, the 1LoD is responsible for initiating this step by aligning with the respective 2LoD Risk Type Owner(s) (e.g. Compliance, I&ORM, Legal, etc) to agree upon and formalize the MC&T instructions and set-up. For Entity Level Controls, however, the ELCA maintainer (in most cases 2LoD) is responsible for defining and reviewing the MC&T instructions and set-up. The 1LoD is consulted by the 2LoD Risk Type Owner(s) to discuss the allocation of the Entity level controls to the entities of the bank as well as for reviewing the monitoring instructions and RAG criteria. This consultation step can be coordinated centrally for all Entity level controls, or by the 2LoD ELCA maintainers for their set of Entity level controls.

Hereafter, I&ORM administrates and activates the MC&T instructions and set-up in AGRC² for primarily Entity level controls and IT-controls and local controls (at request by 1LoD), enabling monitoring and testing. 1LoD colleagues with a Control maintainer role in AGRC are authorized to perform (intermediate) updates on the MC&T instructions and set-up for local controls after consultation of 2LoD.

1.2.1 MC&T frequency

The MC&T frequency (i.e. the number of monitoring and testing sessions per year) and the sample size are determined during the set-up step by 1LoD and 2LoD. Section 6.2.1 Learning Loop MC&T in the [NFR Procedure](#) should be used as guidance for the yearly MC&T frequency.

RISK-BASED APPROACH (RBA) MONITORING AND TESTING

¹ Please note that the 2LoD Risk type for IT controls is Information Risk which is part of I&ORM.

² AGRC is the abbreviation for: ABN AMRO Governance Risk and Compliance tool. It is the database in which we enter all our individual risk activities for Non Financial Risk including Monitoring Control and Testing.

The conditions for implementing a RBA for monitoring and testing are mentioned in section 6.2 Learning Loop MC&T of the [NFR Procedure](#). The following however should also be kept in mind when implementing the RBA:

- Control frequency reduction can result in an adjusted minimum required annual sample size³
- Only controls with an original semi-annually and quarterly frequency apply for RBA
- No significant changes have occurred in processes, systems and the organization

During the evaluation/risk dialogue on MC&T the RBA for next MC&T cycle should be (re)confirmed for the relevant set of controls.

EXTRA MONITORING AND TESTING SESSION

The 1LoD, in agreement with relevant 2LoD function(s), could also decide to introduce an extra monitoring and testing session. This can be applied, for example, in case action plans are completed, to demonstrate and improve MC&T results

EVENT DRIVEN CONTROLS

In addition to controls with a regular interval, controls with an irregular interval (i.e. event driven controls) exist. To determine the MC&T frequency and sample size for these types of controls, the 1LoD must make an estimation of the number of times they expect the (key) control to be executed per year. This estimation is done based on professional judgement, historical information (if available) or expected developments. The total number of expected (key) control activities must then be compared to the column “Frequency of key control execution per year” in table 1 of section 6.2.1 Learning Loop of the [NFR Procedure](#) to determine the MC&T frequency and associated sample size.

Example (based on table 1 in section 6.2.1 Learning Loop MC&T of the [NFR Procedure](#)):

An event driven key control is expected to be performed 20 times a year. This number falls between a Monthly and a Weekly key control execution. When an event driven control falls between MC&T frequencies, the 1LoD determines the MC&T frequency to use. The decision of the 1LoD must be agreed by the 2LoD. MC&T should therefore be executed Semi-Annually (i.e. 2 times per year) with a monitoring sample size per MC&T session of 2 or 4. The total monitoring sample size per year is therefore 4 or 8. The testing sample size per MC&T session should be 1 or 2. The total testing sample size per year is therefore 2 or 4.

1.2.2 Sample sizing and selection

To come to a reliable conclusion on the operating effectiveness of controls, using a representative sample of the target population is important. The target population is the entire set of data in a certain period (the review period) which is relevant for monitoring and testing.

To determine a representative sample, two elements are important:

- 1) the determination of the sample size and,
- 2) the selection of the sample itself. A sample size can be determined via a **Judgmental** (see table 1 section 6.2.1 Learning Loop MC&T for Judgmental sampling in the [NFR Procedure for judgmental](#)

³ Please note that in case of the Risk Based Approach (RBA) the total yearly sample sizes can be lower.

[sampling](#)) or **Statistical** sampling method. Statistical sampling is preferred above Judgmental sampling as results are more accurate. This sampling method supports the idea that the sample size is large enough to ensure, with a certain confidence level, that the results reflect the entire target population. For example, a 95% confidence level means that you can be 95% certain that the results lie between x and y numbers. Thereby, the smaller the interval between x and y (i.e. smaller margin of error or also called confidence interval), the more precise the conclusion is, based on the sample at a given confidence level. This can be obtained by selecting a larger sample size. Especially in the case of relatively small populations, the effect of a larger sample size can be considerable. Important criteria to determine the sampling method are the size and composition of the target population (i.e. level of uniformity) as well as the required level of assurance on the operating effectiveness of controls. See [determining sample \(statistical sampling\)](#) for determining a sample size.

RANDOM SAMPLING (TO DRAW A SAMPLE)

After knowing the sample size, the next step is to compile the sample from the target population. To avoid biased results, random sampling is preferred. Random means that every individual item (e.g. record, transaction, document, etc.) of the target population has an equal chance of being included in the sample. This ensures that certain parts of the target population are not systematically favored nor excluded (see [NFR Procedure](#) section 6.2.1 Learning Loop MC&T for randomly selecting a sample via an easy tool: <https://www.random.org/integers/>

The sample size and selection for monitoring and testing should be seen in relation to each other, whereby the applied sampling method can be different for monitoring and testing. Depending on the representativeness and reliability⁴ of a sample applied for monitoring, a tester can rely more and more on the monitoring results and focus increasingly on demonstrating the same results. It is up to the 1LoD and 2LoD to decide, based on professional judgement, which sampling method to apply for monitoring and testing.

1.2.3 MC&T Red, Amber, Green (RAG) instructions

The (Red, Amber, Green) RAG instructions represent the set of standards that reflect the degree of operating effectiveness. The operating effectiveness of a control can be determined when a control is activated for monitoring and testing, the design and monitoring script are adequate.

The RAG score is used as a standardized score for monitoring and testing outcomes and ensures that monitoring and testing results are translated into uniform scores. To support a consistent RAG score over time, the RAG instructions need to be as specific as possible. Nevertheless sometimes professional judgment is required as not all circumstances can be foreseen. The RAG instructions can be quantitative (numbers or percentages) or qualitative. Also a combination of both factors can be used in the RAG instructions (see [NFR Procedure](#) section 6.2.1 Learning Loop MC&T for guidance on RAG scores).

⁴ Representativeness depends on sample size and composition related to the target population. Reliability depends on the correct target population used for sampling, relates to the extent a sample has been selected in an independent manner and is 'fit for purpose' and the people who select the sample are competent do so.

1.2.4 Monitoring and Testing scripts

To assess the operating effectiveness of a (key) control, a monitoring and a testing script needs to be determined. For Local and IT controls the 1LoD and 2LoD formulate their own monitoring and testing scripts respectively. The 2LoD challenges the monitoring script to ensure that the monitoring script is adequate.

For Entity Level Controls, the 2LoD (ELCA-maintainer) formulates the scripts to ensure a uniform monitoring and testing bank wide. The ELCA-maintainer consult the 1LoD for clarity and feasibility of the scripts.

In order to achieve a consistent set-up of monitoring and testing the [NFR Procedure](#) section 6.2.1 Learning Loop MC&T provides generic guidance on monitoring/testing scripts.

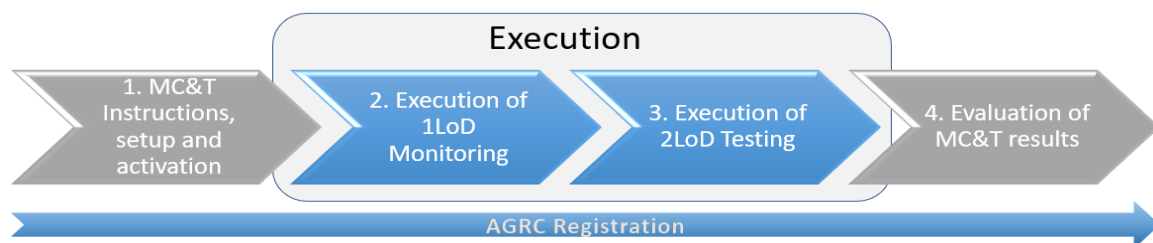
MONITORING AND TESTING GROUPS

For each session it must be clear which monitoring group and testing group will conduct monitoring and testing. For IT and Entity level controls, I&ORM coordinates in cooperation with other 2LoD functions as well as 1LoD which monitoring-groups and testing-groups are selected. For local controls, the 1LoD (Control owner) decides which monitoring group will perform monitoring. The relevant testing group is determined by the applicable 2LoD function that conducts the testing.

1.2.5 Activating controls

To activate a control, the AGRC field 'Active' should set to 'YES' and the control should be linked to a monitoring and testing group, a NFR Generic risk, and a Business Structure.

1.3 Execution of Monitoring and Testing



The Monitor and/or Tester executes all monitoring or testing scripts and documents the results in such a way that it can be efficiently re-produced.

Activities to execute monitoring	Activities to execute testing
a) Compile sample based on target population as described in the monitoring script; b) translate the monitoring results into a RAG score together with a good readable, understandable rationale in AGRC; c) compile evidence that substantiates the monitoring activities and findings^[1]. d) In case of control cannot be monitored because no events occurred, see NFR Procedure 6.2.2 Learning Loop MC&T e) if a control description needs to be updated, See NFR Procedure 6.2.2 Learning Loop MC&T f) when a control is inadequate, see NFR Procedure 6.2.2 Learning Loop MC&T g) in case of an Amber or Red score, the monitor performs a Conduct Driver analysis. h) depending on the RAG score (see table 3) the monitor creates an issue (IMAT) in AGRC^[2]. i) finalize the monitoring session in AGRC and submit results.	a) Validate or compile sample based on target population as described in the testing script; b) translate the testing results into a RAG score together with a good readable, understandable rationale in AGRC; c) compile evidence that substantiates the testing activities and findings. Please refer to appendix III, for guidance on recording evidence in AGRC; d) when the RAG score determined by the tester is different from the RAG score of the monitor, the tester is required to contact the monitor to discuss the difference in opinion before finalizing the testing activities in AGRC; e) Make use of the 2LoD Testing template created by I&ORM in order to gather evidence in AGRC in a consistent way. In case of control cannot be tested because no events occurred. See NFR Procedure category 2 on slide 49 f) in case of an Amber or Red test score, the tester performs a Conduct Driver analysis g) depending on the RAG score (see table 3) the tester creates an issue (IMAT) in AGRC^[3] in case the Monitor has not already defined an issue. The issue administrator (in 1LoD) defines an action plan finalize the testing session in AGRC and submit results.

Table 2: Guidance for executing Monitoring & Testing

Control type:	Mandatory issue registration in IMAT when RAG score =
Local / IT / Entity Level controls	Red

Table 3: Requirement to create a mandatory issue for ineffective key controls in AGRC

The monitoring and testing execution of Entity level controls can have a specific set-up. Instead of monitoring by the 1LoD, the technical monitoring will be conducted by the central 2LoD department. This can be more efficient in case these departments have all information centrally available for proper checking the Entity Level Control effectiveness. In such cases I&ORM will technically perform the testing by copying the rationale and RAG of the monitor in the testing-fields. This is a necessary step in AGRC to complete the MC&T-session.

For Entity level controls I&ORM tracks and reports the progress of departments involved during monitoring and testing.

^[1] Please refer to appendix III, for guidance on recording evidence in AGRC

^[2]

1.3.1 Conduct driver analysis

When a finding has been identified that leads to an Amber or Red score, a Conduct driver analysis must be performed. The purpose of a Conduct driver analysis is to find the root cause of the ineffective control and resolve the issue. The Monitor or Tester selects the applicable Conduct drivers in AGRC (at least one and maximum three) related to the ineffective control. Refer to the Conduct drivers connection page for further guidance [Conduct Driver Monitoring & Testing Sharepoint](#).

1.4 Evaluation/(Risk) Dialogue on MC&T results



The evaluation/ (risk) dialogue on monitoring and testing results is a recurring final step in the MC&T process. The (risk) dialogue/evaluation by the 1LoD and 2LoD can result in lessons learned, enhancements of control designs and MC&T instructions and set-up as well as input for the next MC&T cycle. It can also be a trigger for a NFR Assessment.

1.4.1 Evaluation regular meeting

After a MC&T cycle, the Client Units /Functions evaluate the MC&T results with representatives of the 2LoD in the form of a evaluation / (risk) dialogue (see [NFR Procedure section 3.4.2 Employee skills | How to perform an effective risk dialogue](#)). The 1LoD is responsible for initiating this this meeting, amongst others, the following topics can be discussed:

- Status on PowerBI Reports on MC&T/Control environment
- Audit issues
- Trends
- Adjustments in control activation
- Alarm bells
- Follow-up actions
- Monitoring & testing execution
- Deactivation or (de)scoping of key controls
- Inadequate designed controls (including scripts)
- selecting controls for risk-based approach MC&T;

1.4.2 Evaluation/(risk) dialogue for Entity Level Controls

The results of the monitoring and testing on Entity level controls have to be evaluated by:

- The 1LoD, to become aware of potential ineffective Entity level controls, that need to be strengthened and to be taken into account in the NFR Assessments;
- 2LoD to become aware of potential bank wide red threads in ineffectiveness of Entity level controls and to define 2LoD-actions to support the entities in embedding the Entity level controls and improving their effectiveness;
- I&ORM, to evaluate the overall operating effectiveness of the Risk Control Framework. After monitoring and testing of the Entity level controls and reporting of the results, I&ORM coordinates the overall evaluation of the Entity level control assessment process (lessons learned) with representatives of involved 1LoD and 2LoD departments.

1.4.3 Escalation

If, a difference of opinion between 1LoD and 2LoD is unresolved, escalation to relevant (Senior) Client Unit stakeholder and Risk Type Owner should take place.

Intermediate updates on monitoring or testing scripts

The risk and control framework must be maintained on an ongoing basis. Changed operations can require an update of the control design, de-activation or replacement as a new control has been implemented or existing control has been changed. For more information on (intermediate) maintenance (via deactivating and reactivating controls), refer to the Control design Procedure

Updating scripts of process (i.e. local) controls for monitoring and testing purposes are in scope of this procedure. For Entity level controls, ~~IF~~- and Reference control types intermediate updates are centrally performed by the 2LoD, as the impact of these control types can be large from a bank wide perspective.

Updating monitoring scripts

If a Monitor in the 1LoD notes that a monitoring script does not fit the design of a local control, he or she should make sure that adjustments are made. The Monitor contacts the Control maintainer to request an adjustment of the control script in AGRC. The Control maintainer consults the 2LoD to discuss the change(s). It is up to the Control maintainer to execute the changes in the monitoring script.

Updating testing scripts

If a Tester⁵ notes that a testing script does not fit either the design of a (local) control or the monitoring script, the Tester is responsible to adjust the testing script in AGRC without delay. He/she has the authorization in AGRC to do so. The Tester informs the Control maintainer upfront about the change.

⁵ Please note that a Monitor can also inform the Tester if the Testing script needs adjustment.

2 Appendices

2.1 Appendix I – Document Summary

Title	Non-Financial Risk Additional MC&T Guidance	
Date	15-03-2023	
Reference-Version Number	Version 1.0	
Document Type	Additional MC&T Guidance: this document should be used in conjunction with the NFR Procedure section Learning Loop Monitoring of Controls & Testing and applies to all Client Units (businesses and enabling functions) and all legal entities within ABN AMRO. The document must be read in conjunction with the Non-Financial Risk Policy and the Non-Financial Risk Procedure.	
Status	Final	
Subject	This additional guidance on MC&T describes the methodology and process steps within Monitoring Control and Testing on top of what is mentioned in the NFR Procedure. It provides guidelines for executing monitoring and testing of key controls.	
Author	I&ORM (Sergio Dankerlui)	
Major changes summary	• Additional guidance on the Risk Based Approach • Additional guidance on topics for MC&T evaluation / (risk) dialogues • The RACI for MC&T has been added	
Reviewers	Maarten Wiersma Ingrid van Nieuwenhuis Petra Raven Marco de Vries Sandra van der Mooren Jolanda Cilon Berdien Eelderink Rutger Timmermans Niels Groot Dennis de Wit	I&ORM I&ORM Legal Compliance P&C P&BB P&C P&BB P&C P&BB P&C Functions I&T Customer Care & Operations P&BB Home Financing
Approved by	Bartje Schotman(RTO I&ORM)	March ... , 2023

2.2 Appendix II – Guidance roll-up method MC&T

Roll up controls are advised not to be used longer (see [NFR Procedure](#) section 6.2.2 Learning Loop MC&T category 2). However below some guidance for exceptional situation where roll-up is still used.

Controls are designed at different levels within the organization (e.g. client units and countries). Thereby, it is possible that the same control is monitored and tested at different levels within the organization, all resulting in many individual RAG scores. For example, a consolidation of all RAG scores of several branches to one roll-up RAG score. This leads to the following roll-up method:

- Monitoring on roll-up level and underlying levels. Testing is only available at roll up level but not required anymore.

The roll-up RAG score provides an overall conclusion of the operating effectiveness of a control for all underlying levels.

DIFFERENCES ROLL-UP MC&T AND REGULAR MC&T

Differences between regular MC&T and roll-up are made clear in the table below.

Roll-up MC&T	Regular MC&T
For red scores at roll-up level, it is mandatory to create an issue.	For all red scores of each individual level an issue needs to be created.
In monitoring & testing scripts, both criteria for the determination of the consolidated RAG score as well as criteria for determination of individual RAG scores are provided.	In monitoring and testing scripts criteria are provided for the determination of individual RAG scores.

2.3 Appendix III – Data privacy and guidance on recording evidence AGRC

Data privacy is an important aspect to consider when assessing, (re)viewing and recording evidence in AGRC. This paragraph details the privacy requirements to consider when handling evidence for MC&T purposes. In general, evidence required to substantiate monitoring and testing should be minimized to fulfil the purpose of MC&T. This means that evidence in AGRC should be limited solely to satisfy the objectives of MC&T. The evidence should either be uploaded/recorded in AGRC or retrieved from source system or other location of storage⁶. If the evidence contains personal data⁷ or price sensitive data (i.e. classified as C1 Confidential critical) it should under no condition be recorded/uploaded in AGRC. In that case personal and/or private sensitive data should be anonymized and data minimization principles should be applied. To ensure an audit trail to the evidence, a reference must be specified in AGRC to the source system or location of storage. In addition do not disclose clients or persons in the rationale field or the explanation in the conduct driver field.

To foresee proper handling of evidence, it is important that data privacy aspects are considered in a timely manner. During the MC&T instruction and set-up step, when 1LoD and 2LoD are determining the evidence, the GDPR privacy principles must be taken into account. Both Monitor and Tester must discuss and agree upon the data that is needed as evidence, including where this evidence needs to be stored or retrieved (e.g. source system, Worksquare Group Data (WGD)). This information must be specified in the monitoring script and testing script.

BANK SECRECY COUNTRIES SPECIFIC - In bank secrecy countries legislation prohibits the registration of any client reference in AGRC, including in the attachments. In case leaving out names and references is not feasible, the relevant evidence should be stored outside AGRC. 1LoD and 2LoD have to agree on the best way to review the underlying evidence.

2.4 Appendix IV – RACI SOP MC&T

STANDARD OPERATING PROCEDURE – RACI MC&T	
Purpose: The purpose of this SOP is to ensure the roles and related activities in MC&T process are transparent to execute in a correct way. This SOP should be read in conjunction with the NFR procedure and is not a replacement.	
When relevant:	MC&T process is triggered
Owner SOP:	I&ORM –
Remarks:	• -

⁶ E.g. Worksquare Group Data (WGD), ~~Closed-Connections-page~~

⁷ 'Personal data' means any information relating to an identified or identifiable natural person ('data subject'); an identifiable natural person is one who can be identified, directly or indirectly, in particular by reference to an identifier such as a name, an identification number, location data, race, date of birth etc. Source Personal Data Policy

Specific roles needed in AGRC:	• RCA Maintainer (2 LoD) • ELCA Maintainer (2 LoD) (Only AGRC profiles P_RM IRM GPFR, P_RM BCM - MAINTAINER and P_RM ORMC PMO can maintain ELCAs.) • ITCA Maintainer (2LoD) • Control Maintainer (1 LoD) • Tester (2 LoD) • Monitor (limited) (1LoD) • Collaborator (1LoD)
Related policies / procedures:	• NFR Policy and NFR procedure
Version: 1.0 Approved by: Instrument owner MC&T Latest update: March,7 2023	

R	Responsible	Those who do the work to complete the task
A	Accountable	The one ultimately answerable for the correct and thorough completion of the deliverable or task, the one who ensures the prerequisites of the task are met and who delegates the work to those responsible.
C	Consulted	Those whose opinions are sought, typically subject-matter experts; and with whom there is two-way communication
I	Informed	Those who are kept up-to-date on progress, often only on completion of the task or deliverable; and with whom there is just one-way communication

MC&T process steps



Process step	Activity	Sub-activity	1 st line (P&C)	1 st line Monitor ⁸ /Collaborator ⁹	2 nd line I&ORM	2 nd line Other
Activation Instructions, set-up and MC&T	Instructions, setup and allocation	Initiate meeting to define or review the MC&T instructions and set-up, to discuss allocation for local controls.	A/R		C	C
		Formally agree upon the MC&T instructions and set-up and activation for Local controls.	A/R		R	R
		Perform (intermediate) changes to MC&T and RAG scripts of local controls. Note: if needed, I&ORM can support the 1LoD and perform changes for local controls in AGRC.	A/R		C	C
		Formally agree to perform an extra monitoring and test session, for example, in the case where resolution of an IMAT issue requires validation and the MC&T frequency of the control is low (i.e. (semi-) annual frequency).	A/R		R	R
		Initiate meeting to define or review the MC&T instructions and set-up, to discuss allocation for Entity level controls and Reference controls. Note: Initiative is taken by the central 2LoD functions towards local 2LoD functions.	C		A/R	R
		Formally agree upon the MC&T instructions and set-up and activation for Entity level controls.	C		A/R	R
		Process for Entity level controls the required changes in AGRC regarding MC&T scripts, set-up and activate the controls.	I		A/R	I
		Initiate meeting to define or review the MC&T instructions and set-up, to discuss allocation for IT controls ¹⁰ .	C ¹¹		A/R	

⁸ The 1LoD Monitor role concerns the persons who execute the Control monitoring.

⁹ The Monitor can optionally assign this supporting role in AGRC to someone for performing monitoring activities, the monitor remains accountable for the monitoring session however.

¹⁰ IT-controls refer to the so called ITCSA controls in AGRC

Process step	Activity	Sub-activity	1 st line (P&C)	1 st line Monitor ⁸ /Collaborator ⁹	2 nd line I&ORM	2 nd line Other
		Formally agree upon the MC&T instructions and set-up and activation for IT ¹¹ controls.	C/R ¹²		A/R	
		Perform intermediate changes to MC&T and RAG scripts of Entity level, IT ¹¹ and reference controls.	I		A/R	A/R
	Define sampling	Determine and define sampling method for monitoring local controls.	A/R		R	R
		Determine and define sampling method for monitoring Entity level, IT ¹¹ and Reference controls.	C/R ¹³		A/R	A/R
		Determine and define sampling method for testing local controls.	C		A/R	A/R
		Determine and define sampling method for testing Entity level, IT ¹¹ and Reference controls.	C		A/R	A/R
	Define RAG script	Define RAG instructions for local controls	A/R		R	R
		Define RAG instructions for Entity level, IT ¹¹ and Reference controls	C/R ¹⁴		A/R	A/R
	Assign monitoring group	Assign monitoring group for local controls	A/R	I	I	I
		Assign monitoring group for Entity level, IT ¹¹ and reference controls	C		A/R	A/R
	Assign testing group	Assign testing group for local, Entity level, IT ¹¹ and Reference controls	C/R ¹⁵		A/R	A/R
	Risk based monitoring & testing	Determine and approve controls for risk-based monitoring and testing, and choose option how to perform.	A/R		R	R
		Note: Check upfront the MC&T Set-up Tips & Tricks in the AGRC Learning Centre if option <i>Changing MC&T</i>				

¹¹ Please note that most (1LoD) P&C departments are not involved in the process of IT Controls

¹² This applies to the I&T related IT Controls

¹³ This concerns the I&T related IT Controls

¹⁴ This concerns the I&T related IT Controls

¹⁵ For Local Controls the 1LoD P&C departments are also responsible here.

Process step	Activity	Sub-activity	1 st line (P&C)	1 st line Monitor ⁸ /Collaborator ⁹	2 nd line I&ORM	2 nd line Other
		<i>frequency in control set-up AGRC is chosen.</i>				
Execution monitoring and testing	Monitoring	Execution of monitoring script, determines RAG score and submit result in AGRC. If required, perform conduct analysis and create IMAT issue.	R	A/R		
		Execution of monitoring script for Compliance and Human Resource (HR) Management related Entity level controls, determines RAG score and submit result in AGRC. If required, perform conduct analysis and create IMAT issue.	I			A/R (Monitors and Testers are different persons)
		Update the monitoring results and close the sessions where the 2LoD monitored the effectiveness of the Entity level controls at central level.			A/R	
		Monitors the progress of departments involved in monitoring the Entity level controls and reports progress	R		A/R	I
	Testing	Execution of testing script for controls, determine RAG score and submit result in AGRC. Consult the Monitor when the RAG score determined by the tester is different from the RAG score of the monitor before finalizing RAG test score.	I	C	A/R	A/R
		For central monitored Entity level controls by 2LoD, copy the RAG score of monitor in the RAG score for testing and provide as rationale "No testing performed because monitoring is conducted by an objective 2LoD party based on centrally available information.".			A/R	
		Tester creates an IMAT issue in AGRC (depending on the RAG score) in case monitor has not already defined an Issue. Issue Administrator (1LoD) defines action plan.	I	I	A/R	A/R
		Tester communicates a Purple test score to 1LoD (P&C and Monitor) specifying the applicable situation.	I	I	A/R	A/R
		Tester communicates to 1LoD (P&C and Monitor) in case testing will be or is not performed in time.	I	I	A/R	A/R
		Tracks the progress of departments involved in testing the Entity level controls and reports progress	I		A/R	I

Process step	Activity	Sub-activity	1 st line (P&C)	1 st line Monitor	2 nd line I&ORM	2 nd line Other
Evaluation of MC&T results	Regular evaluation	1LoD (P&C) initiates a periodic MC&T evaluation meeting with representatives of the 2LoD preferable not later than two weeks before the new MC&T cycle. Note: Ad hoc evaluation moments can also occur besides the regular evaluation	A/R		R	R
	ELCA evaluation	1LoD (e.g. P&C) initiate an ELCA evaluation meeting for own purposes.	A/R			
		2LoD (e.g. P&C) initiate an ELCA evaluation meeting for own purposes.			A/R	A/R
		Overall evaluation (i.e. lessons learned) by I&ORM of ELCA process and analysis of ELC scores with reps of 1LoD and 2LoD functions, and initiate appropriate action if deemed necessary, and reports to senior management.	C		A/R	C
		Report the result on Entity level controls to senior management at bank level.	I		A/R	I
	Escalation (optional)	Escalate to relevant (Senior) Business manager and Risk Type Owner. Note: 1LoD as well as 2LoD can decide to escalate.	A/R		A/R	A/R